Calculating Materiality

Measure	Benchmark		
		3%	10%
Annual profit before taxes	1'263'798.00	37'913.94	126'379.80
Benchmark = 3% - 10%			
		1%	3%
Total assets	48'609'943.00	486'099.43	1'458'298.29
Benchmark 1% - 3%			
		1%	3%
Net proceeds from trade	49'642'031.00	496'420.31	1'489'260.93
Bechmark 1% - 3%			

Right choice of benchmark
Basically: To choose the right benchmark requires extensive knowledge of the client and the industry.
So keep in mind, with the given facts in this task a complete outline is rather difficult.

Annual profit before taxes
Profit was made in 2019 and 2018.

Total assets
Non current assets account for 80% of the total assets - however, it is not a holding company.

Net proceeds from trade
Profits in 2019 and 2018 varies a lot.

Due to the massive changes in "annual profit before taxes" the choice of net proceeds from trade is reasonable.

Right choice of benchmark in %
Basically: To choose the right benchmark requires extensive knowledge of the client and the industry.
So keep in mind, with the given facts in this task a complete outline is rather difficult.

The question is whether the qualitative factors are complex or risky

Organisation
No evidence of increased risks -> 3%

Accounting
No evidence of increased risks -> 3%

Responsible for supervision
No evidence of increased risks -> 3%

Financing structure
There are both, short-term and long-term bank liabilities -> 1%-2% possible*

Business environment
No evidence of increased risks -> 3%

Other
No evidence of increased risks -> 3%

Based on the information available a benchmark of 2.5% - 3% is acceptable